EXECUTIVE SUMMARY

A. Introduction

Agency Profile

The Municipality of Gattaran was founded on May 20, 1963 during the Spanish Expedition to the Philippines, through the leadership of Juan De Salcedo. It was discovered as a tribal community, together with the Municipality of Buguey. And in 1877, by virtue of a Diocesan Order from the Bishop of Nueva Segovia, it was declared as the seat of civil government covering Dummun and Nassiping as the attached community by the recommendation of Fray Francisco Suejos, O.P.

The municipality is located at the center of the Province of Cagayan. It is approximately 66 kms from Tuguegarao City and 40 kms from Aparri. The mountain ranges on the east are a portion of the Sierra Madre Mountain and are bounded on the north by the Municipality of Lallo, west by the Municipality of Lasam and in the south by the Municipality of Baggao and Alcala. It has 50 barangays and is classified as a 1st class municipality with a land area of 70,750.

The enactment of Republic Act 7160, otherwise known as the "Local Government Code of 1991", extended the powers of the local government units to include not only the ability to create other sources of funds but also gave them total independence in managing, deciding and planning its own administrative and financial affairs in conformity with the national government's thrust for sustainable social and economic development.

Scope of Audit

The audit covered the accounts and operations of the Municipality of Gattaran Cagayan for CY 2022 and was aimed at determining whether Management presented fairly the financial statements of the Municipality in adherence to the generally accepted accounting principles and whether prevailing laws, rules and regulations have been complied with. Financial and compliance audits were conducted to achieve these audit objectives.

B. Operational and Financial Highlights

B.1. Programs, Projects and Activities completed in CY 2022

#	Project/Program/Activity Name	Total Cost
1	Construction of Agnaoan Primary School Phase II	1,489,235.49
2	Rehabilitation of Dr. Thomas Nolasco Sr. Memorial Hospital	945,259.88
3	Rehabilitation of Road Approach at Liban St.	997,914.42

4	Construction of Slope Protection	4,982,452.32
5	Concreting of Road to Evacuation Center	2,197,446.84
6	Concreting of Capissayan Sur-Sitio Bandala Baraccaoit Road	18,518,692.07
7	Concreting of Road @ Calaoagan Bassit Phase III	3,500,000.00
8	Concreting of Road (Cabayu)	5,000,000.00
9	Construction of Two (2) Classroom Building, Bangatan	1,991,525.63
10	Completion of Municipal Gymnasium/ Evacuation Center, Phase XII	4,000,000.00
11	Concreting of Road w/One Barrel Box Culvert @ Palagao Sur	5,000,000.00
12	Construction of New Modern Abattoir	4,983,846.85
13	Concreting of Tagumay-Tubungas Este Road	26,249,557.83
14	Construction of Slope Protection	1,987,714.02
	TOTAL	**81,843,645.35**

B.2. Financial Information

The highlights of the financial condition, results of operation, appropriations, allotments and obligations of the Municipality of Gattaran, Cagayan for the year ended December 31, 2022, with comparative figures for CY 2021, are as follows:

Particulars	2022	2021	Increase (Decrease)
Financial Condition			
Total Assets	821,840,442.64	P696,944,366.20	P124,896,076.44
Total Liabilities	132,727,664.12	139,254,684.06	(6,527,019.94)
Total Government Equity	689,112,778.52	557,689,682.14	131,423,096.38
Results of Operations			
Total Income (Includes Total Operating Income and Subsidy from Other Funds)	430,016,667.91	321,171,138.37	108,845,529.54
Total Expenses (Includes Total Operating Expenses, Subsidy to NGAs, Subsidy to Other Funds and Donations	328,072,428.62	280,474,191.65	47,598,236.97
	2022	**2021**	**Increase (Decrease)**
Appropriations, Allotments and Obligations:			
Appropriations-Current	P364,542,776.00	P403,594,400.62	(P39,051,624.62)
Appropriations-Continuing	76,526,291.91	67,031,448.92	9,494,842.99
Allotments – Current	364,542,776.00	403,594,400.62	(39,051,624.62)
Allotments –Continuing	76,526,291.91	67,031,448.92	9,494,842.99
Obligations – Current	333,196,450.18	337,105,502.00	(3,909,051.82)
Obligations –Continuing	51,187,727.57	40,584,231.35	10,603,496.22

Funds Received from Other Agencies			
NGAs	9,124,510.40	5,251,900.00	3,872,610.40
LGUs		150,000.00	(150,000.00)
NGO/POs		-	-
Others		-	-
Total	**9,124,510.40**	**5,351,900.00**	**(3,772,610.40)**
Funds Transferred to Other Agencies			
NGAs	P -	P -	P -
LGUs	-	-	-
NGO/POs	-	-	-
Others	-	-	-
Total	**P** -	**P** -	**P** -

C. Independent Auditor's Report on the Financial Statements

The Auditor rendered a Qualified Opinion on the fairness of presentation of the financial statements of the Municipality of Gattaran for the year-ended December 31, 2022 due to the following because these are materially misstated by an aggregate amount of P57,409,886.27 on account errors, omission and improper accounting treatment of transactions that are considered as departures from the IPSAS.

Our audit of the financial statements of the Municipality of Gattaran disclosed misstatements totaling P57,409,886.27 in absolute value as follows:

Account	Asset	Liability	Prior Period Revenue/ Expense	Total
Property, Plant and Equipment	25,068,860.12			25,068,860.12
Receivables	9,155,497.10			25,068,860.12
Grants and Donations in Kind			9,152,371.59	9,152,371.59
Trust Liability-DRRMF		7,266,877.15		7,266,877.15
Receipt from Market Operation			3,175,704.00	3,175,704.00
Due from Local Economic Enterprise	1,247,147.07			25,068,860.12
Cash in Local Treasury	1,038,282.97			1,038,282.97
Deferred Real Property Tax		821,292.06		821,292.06
Deferred Real Education Tax		477,854.21		477,854.21
Cash in Bank LCCA	6,000.00			6,000.00
Total	**36,515,787.26**	**8,566,023.42**	**12,328,075.59**	**57,409,886.27**

As a result, the following accounts in the financial statements of the Municipality of Gattaran were misstated as follows:

Account	Understatement	Overstatement	Observation No.
Road Network	3,898,054.88		12
Building	3,998,760.53		12
CIP-Infrastructure Assets	13,689,404.97		12
CIP-Building & Other Structures		2,528,220.53	12
Accumulated Depreciation -Road Network	246,876.83		12
Accumulated Depreciation-Building	189,941.13		12
Accounts Payable	19,063,999.85		12
Depreciation Expense -Road Network	246,876.83		12
Depreciation Expense-Building	189,941.13		12
Cash in Local Treasury	8,101,686.45		8, 11
Advances to Officers and Employees	911,528.93		11
Loans Receivables	326,249.37		11
Other Receivables		9,155,497.10	11
Due to Local Economic Enterprise		852,723.00	11
Drugs and Medicine Expense	9,105,937.54		14
Grant and Donations in Kind	9,152,371.59		14
Drugs and Medicine	46,434.05		14
Trust Liability-DRRMF	7,266,877.15		5
Prior Year Adjustment		6,823,776.12	5
Operating Lease Receivables	988,064.00		6
Taxes and Licenses	332,053.00		6
Rent Income		1,855,587.00	6
Receipt from Market Operation	3,175,704.00		6
Due to Special Account	1,247,147.07		13
Due from Local Economic Enterprise	1,247,147.07		13
Due to LGUs	71,391.64		8
Deferred Real Property Tax	134,416.36		7,8
Deferred Special Education Tax	530,333.01		7,8
Real Property Tax-Basic		216,755.52	7
Special Education Tax		216,755.52	7
Hospital Fees	110,782.00		7
Shares from Philippine Charity Sweepstakes Office	180,177.05		7
Cash in Bank, Local Currency, Current Account	6,000.00		10

D. Summary of Significant Observations and Recommendations:

The following are among the Audit Team's significant audit observations and recommendations:

1. Out of the 27 projects funded out of the CY 2022 20% Development Fund, three projects costing P9,000,000.00 were not completed and fifteen

projects with a total budget cost of P46,955,400.00 were not implemented as of December 31, 2022.

We recommended that Management identify and immediately address the causes of delay of implementation/completion and henceforth ensure that the development projects to be funded out of the 20% DF are carefully planned and procurement and implementation ready, in order to maximize the utilization of the projects and to ultimately achieve the socio-economic developments and environmental outcomes of the Municipality.

2. One (1) unit of reconditioned Dump truck and one (1) unit of Reconditioned Wide Low Bed Truck with contract costs of P1,995,000.00 and P3,995,000.00, respectively, were procured.

   We recommended that Management stop the practice of acquiring secondhand/reconditioned motor vehicles.

3. Cash advances amounting to P720,798.00, P100,000.00 and P2,847,159.00 were granted to officers and employees who are not properly bonded, elected officials and employees not designated as disbursing officers, respectively.

   We recommended that Management refrain from granting cash advances to unbonded officers and employees, elected officials and employees who are not designated as disbursing officers.

4. Fund budgeted and appropriated for the Concreting of Road, Continuation at Tagumay-Tubungan Este Road (NTLB Counterpart) amounting to P2,000,000.00 was realigned and used for Concreting of Road at Cabayu.

   We recommended that Management ensure that funds are used for its specific purpose for which they have been appropriated.

5. The Agency failed to file within the prescribed periods the returns on capital gains taxes and documentary stamp taxes due on the acquisition of four lots in the total amount of P2,737,830.00 and P684,465.00, respectively, resulting to the incurrence of surcharges, interests and compromise fees totaling to P1,418,496.04 imposed by the Bureau of Internal Revenue.

   We recommended that the Management strictly observe the deadlines set by the Bureau of Internal Revenue for the filing of tax returns and corresponding payment of taxes to which the LGU is obliged to settle, in order to avoid penalties and losses. Otherwise, penalties that shall be incurred in the subsequent periods will be disallowed in audit.

6. Some deficiencies with a total amount of P 1,038,241.67 were noted in the implementation of five projects such as scaling of portions of road pavement and severely scoured road shoulder, including the embankment and the original ground, which prompted the eminent failure of the road pavement

   We recommended that Management require the concerned contractors to rectify the defects the soonest time to avoid further deterioration and to ensure longer life span of the structures, and to avoid untoward incident to the users. Otherwise, the corresponding amount of deficiencies noted of P1,038,241.67 will be disallowed in audit.

E. Remittances of GSIS, Pag-IBIG and PhilHealth Premiums

The LGU has complied with the rules on the proper deductions of GSIS, Pag-IBIG and PhilHealth premiums from the salaries of employees and the timely remittances of these premiums to the GSIS, Pag-IBIG and PhilHealth in accordance with R.A Nos. 8291, 9679 and 7875, respectively.

F. Summary of total Suspensions, Disallowances and Charges

Particulars	Beginning Balance	Issued During the Year	Settlement During the Year	Ending Balance	% of Settlement
Suspensions					
Prior Years	P -	P -	P -	P -	-
Current Year	-	-	-	-	-
Total	-	-	-	-	-
Disallowances					
Prior Years	**31,200.00**	-	-	**31,200.00**	-
Current Years	-	-	-	-	-
Total	-	-	-	-	-
Charges					
Prior Years	-	-	-	-	-
Current Years	-	-	-	-	-
Total	**P -**	**P -**	**P -**	**P -**	-

G. Status of Implementation of Prior Year's Audit Recommendations

The status of implementation of prior year's audit recommendations embodied in CY 2021 Annual Audit Report is summarized as follows:

Implemented		6
Not Implemented	6	
Not Implemented and restated in Part II of this report	1	7
TOTAL		**13**